

CHAPTER 3

PLANNING AND CONDUCTING THE AUDIT

3.1. Three Main Reasons for Planning

1. To obtain sufficient competent evidence for the circumstances.
2. To help keep audit costs reasonable
3. To avoid misunderstanding with the client.

3.2. Planning an Audit and Designing an Audit Approach

1. Accept client and perform initial audit planning.

2. Understand the client's business and industry.

3. Assess client business risk.

4. Perform preliminary analytical procedures.

5. Set materiality and assess acceptable audit risk and inherent risk.

6. Understand internal control and assess control risk.

7. Gather information to assess fraud risks.

8. Develop overall audit plan and audit program.

Acceptable Audit Risk is a measure of how **willing the auditor is to accept** that the financial statements may be materially misstated after the audit is completed and an unqualified opinion has been issued.

When the auditor decides **on a lower acceptable audit risk**, it means that the auditor wants to be more certain that the financial statements are not materially misstated.

Zero risk is certainty, and a **100 percent risk** is complete uncertainty.

Inherent risk: is a measure of the auditor's assessment of the likelihood that there are **material misstatements** in an account balance before considering the effectiveness of internal control.

1. MAKE CLIENT ACCEPTANCE DECISIONS AND PERFORM INITIAL AUDIT PLANNING.

A. INITIAL AUDIT PLANNING

- **Client acceptance and continuance**
- **Identify client's reasons for audit**
- **Obtain an understanding with the client**
- **Develop overall audit strategy**

A. Client acceptance and continuance

- ❑ A CPA firm must use care in deciding which **clients are acceptable**.
- ❑ clients who lack integrity or argue constantly about **the proper conduct of the audit** and fees must be examined.
- ❑ CPA firms refuse any clients in **certain high-risk industries**, and discontinue auditing existing companies in those industries.

New Client Investigation

Before accepting a new client, CPA firms investigate company to determine its acceptability.

They do this by examining:

- ❖ client's standing in the business community,
- ❖ financial stability, and
- ❖ relations with its previous CPA firm.

To accept the engagement:

- ❖ **Successor auditor** communicated with **predecessor auditor** to accept new client about (to obtain information)
 - ❑ Client's **integrity** or disputes over accounting principles, audit procedures, or fees.
- ❖ Other investigations gathered from local attorneys, other CPAs, banks, and other businesses.

- ❖ The auditor may hire a **professional investigator** to obtain information about the **reputation and background of key members of management.**

Continuing Clients:

- ❖ CPA firms evaluate **existing clients** annually to determine whether there are **reasons for not continuing to do the audit.**

The reason to discontinue with a client:

❖ Previous conflicts over:

- ✓ The appropriate scope of the audit,
- ✓ The type of opinion to issue,
- ✓ Unpaid fees, or other matters
- ✓ The auditor also drop a client after determining the client lacks integrity.

❖ **Excessive risk also considered.**

- ✓ Investigating new clients and reevaluating existing ones is an essential part of deciding acceptable audit risk.

B. Identify Client's Reasons for Audit

The two major factors affecting Acceptable Audit Risk (AAR) are:

- ✓ The likely statement users and
- ✓ Their intended uses of the statements

C. Obtain an Understanding with the Client

- ❑ A clear understanding of the terms of the **engagement** should exist b/n client & the CPA firm by **letter of engagement**

Engagement letter include:

- The engagement's objectives,
- The responsibilities of the auditor & Management,
- The engagement's limitations.
- An agreement to provide other services

- Any restrictions to be imposed on the auditor's work,
- Deadlines for completing the audit,
- Assistance to be provided by the client's personnel
- It often includes an agreement on fees.

Engagement letter information is **important in planning the audit principally**: Because,

1. **It affects the timing of the tests** and
2. **The total amount of time the audit and other services will take.**

D. Develop Overall Audit Strategy:

- ☐ After understanding the client's reasons for the audit, the auditor should develop a preliminary **audit strategy**.
- ☐ This strategy considers:
 - ☐ The **nature of the client's business and industry**, including areas where there is **greater risk of significant misstatements**.

➤ **Select Staff for Engagement:**

❖ The auditor must assign the appropriate staff to the engagement to:

- ✓ Meet GAAS and
- ✓ promote audit efficiency.

➤ **Evaluate Need for Outside Specialists:** Auditing standards establish the requirements for selecting specialists and reviewing their work.

2. UNDERSTANDING OF THE CLIENT'S BUSINESS & INDUSTRY

A thorough understanding of the **client's business and industry and knowledge** about the company's operations are essential for the auditor to conduct an **adequate audit**.

❖ Factors that have increased the importance of understanding the client's business and industry:

- Information technology
- Clients have expanded operations globally
- Human capital
- Investing in complex financial instruments



A. Industry and External Environment

❖ Reasons for obtaining an understanding of the client's industry and external environment:

1. Risks associated with specific industries.
2. Inherent risks common to all clients in certain industries.
3. Unique accounting requirements

B. Business Operations and Processes

❖ Factors the auditor should understand:

- **Major sources of revenue**
- **Key customers and suppliers**
- **Sources of financing**
- **Information about related parties**

Tour the Plant and Offices

- ❖ By viewing the physical facilities, the auditor can assess physical safeguards over assets and
~~Interpret accounting data related to assets.~~

Identify Related Parties

A **related party** is defined as an **affiliated company**, a **principal owner of the client company**, or any other party with which the client deals, where one of the parties can influence the management or policies of the other.

C. Management and Governance

- ❖ Management establishes the strategies and processes followed by the client's business.

- ❖ Governance includes the client's organizational structure, as well as the activities of the board of directors and the audit committee.

- ❖ Corporate charter and bylaws

- ❖ Code of ethics: Companies frequently communicate the entity's values and ethical standards through policy statements and codes of conduct.

- ❖ Minutes of Meetings

Code of Ethics

In response to the Sarbanes-Oxley Act, the SEC now requires each public company to disclose whether it has adopted a code of ethics that applies to senior management.

❖ The SEC also requires companies to disclose amendments and waivers to the code of ethics.

D. Client Objectives and Strategies

❖ Strategies are approaches followed by the entity to achieve **organizational objectives**.

❖ Auditors should understand client's objectives related to:

- Financial reporting reliability
- Effectiveness and efficiency of operations
- Compliance with laws and regulations

E. Measurement and Performance

❖ The client's performance measurement system includes key performance indicators. **Examples:**

- market share
- sales per employee
- unit sales growth
- Web site visitors
- same-store sales
- sales

❖ Performance measurement includes ratio analysis and benchmarking against key competitors.

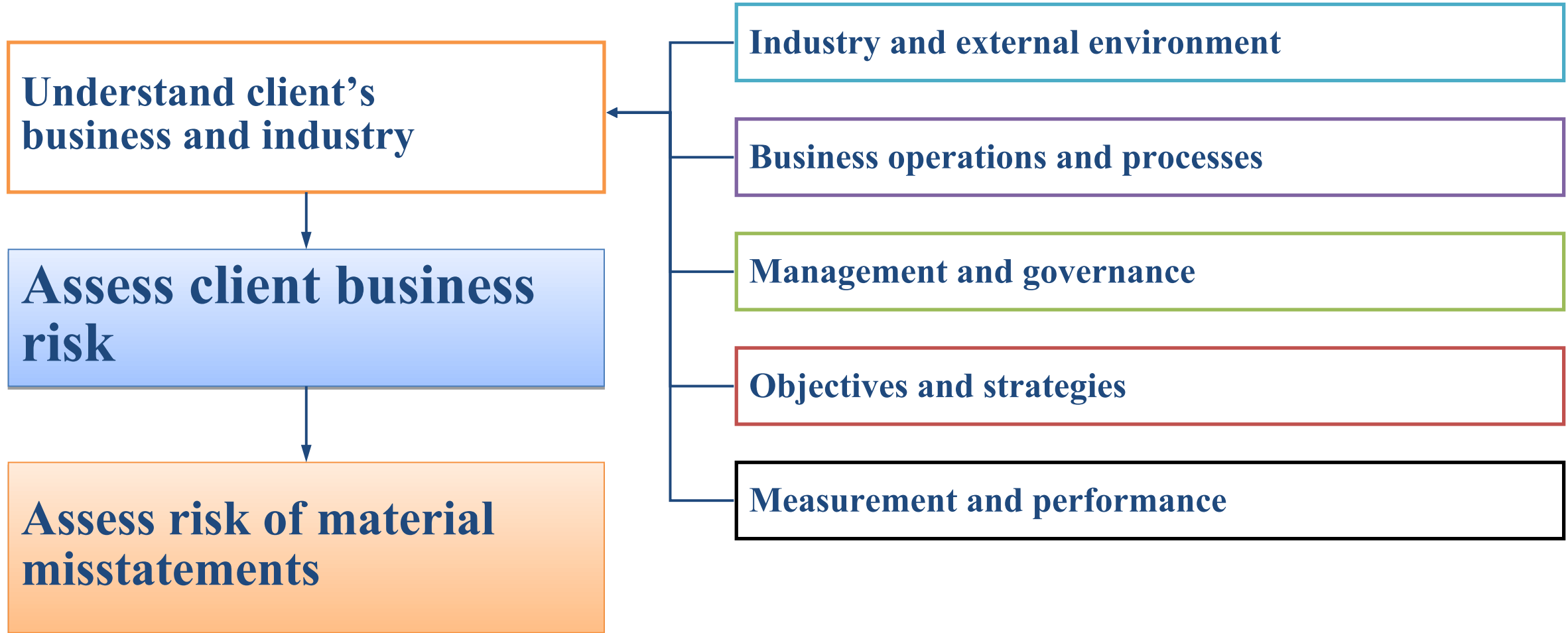
3. ASSESS CLIENT BUSINESS RISK.

❖ *Client business risk* is the risk that the client will fail to achieve its objectives.

➤ The auditor's primary concern is:

❖ Material misstatements in the financial statements due to client business risk

Client's Business Risk and Risk of Material Misstatement



❖ The Sarbanes-Oxley Act requires that:

- ❑ management certify it has **designed disclosure controls** and procedures to ensure that material information about business risks is made known to them.
- ❑ It also requires that management certify it has informed the auditor and audit committee of any **significant deficiencies in internal control**.

4. PERFORM PRELIMINARY ANALYTICAL PROCEDURES

Preliminary Analytical Procedures

- Comparison of client ratios to industry or competitor benchmarks provides an indication of the company's performance.

Preliminary tests can reveal unusual changes in ratios.

5. ASSESS AUDIT RISK

RISK AND MATERIALITY IN THE AUDIT PROCESS

- Much of the planning in audits deals with obtaining information to help auditors assess the risks in the audit process.
- There are two types of risks in conducting an audit:
 1. One type of risk is the risk that the auditor or audit firm will suffer harm because of a **client relationship**, even though the audit report rendered for the client was correct. This is called **risk to the firm.**
 2. The other type of risk is *audit risk*, the risk that an auditor may give an inappropriate audit opinion on financial statements, e.g. an unqualified audit opinion on financial statements that are **materially misstated.**

- *Audit risk* is the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated:

- *Inherent risk*

- *Control risk*

- *Detection risk*

Audit Risk Model

- The audit must be designed to limit audit risk to a low level.
- Audit risk consists of (a) the risk that an account and its related assertions contain material misstatements (composed of two components: inherent risk and control risk) and (b) the risk that the auditor will **not detect such misstatements** (referred to as detection risk).

Audit risk = Inherent Risk x Control risk x Detection Risk

Inherent, Control and Detection Risks in Depth

A. Inherent risk

- Inherent risk is measure of the **sensitivity or susceptibility** of the financial statement accounts to material misstatement before considering the effectiveness of internal control, accounting controls, policies or procedures.
- Internal controls are ignored in setting inherent risk because they are considered separately in audit risk assessment as **control risk**.

In measuring inherent risk, the auditor should consider several major factors:

- Nature of clients business
- Nature and liquidity of the account
- Difficulty of calculating the account balance
- Auditors prior relationship with the client
- Integrity of client's management.

If the auditor concludes that there is high likelihood of error, the auditor would conclude that inherent risk is high.

- Inherent risk is the risk that an account balances or class of transactions contains a material misstatement, assuming **no related internal controls** exist.

1. At the Financial Statement Level:

- The integrity of management.
- Organization and management structure.
- Pressures on management to report certain financial results.
- The nature of the entity's business.
- Factors affecting the industry in which the entity operates.

- At the Account Balance and Class of Transaction Level:
 - Financial statement accounts likely to be susceptible to misstatement.
 - The complexity of the underlying transactions and other events which might require using the work of an expert.
 - The degree of judgment involved in determining account balances.
 - Susceptibility of assets to loss or misappropriation, for example, assets which are highly desirable and movable such as cash.
 - The completion of unusual and complex transactions, particularly at or near period end.
 - Transactions not subjected to ordinary processing.

B. Control risk

✚ Control risk is the risk that a material misstatement will not be prevented or detected on a timely basis by the clients internal control structure.

Control risk represents.

✚ An assessment of whether clients internal control structure is effective for preventing or detecting errors and

✚ The auditor's intention to make the assessment at a level below maximum (100%) as part of the audit plan

NB: The more effective the internal control, the lower risk of control

C. Detection risk

- Detection risk is the risk that the **auditor will fail to detect the material misstatement** with their audit procedure.
- It is the possibility that auditor's procedure will lead them to conclude that a material misstatement **doesn't exist** in an account, in fact such misstatement **does exist**.
- The auditor assesses control risk based on the perceived effectiveness of the entity's internal control system in preventing and/or detecting material misstatement.
- In determining detection risk, the auditor should consider:
 - **The nature of substantive procedures;**
 - **The timing of substantive procedures;**
 - **The extent of substantive procedures.**

7. ANALYTICAL PROCEDURES

- Analytical procedures are defined by auditing standards as evaluations of financial information made by a study of plausible relationships among financial and nonfinancial data involving comparisons of recorded amounts to expectations developed by the auditor.
- Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable relative to the auditor's expectations.

- **Analytical procedures may be performed at any of three times during an engagement:**

1. Analytical procedures are required in the planning phase to assist in determining the nature, extent, and timing of audit procedures.

2. Analytical procedures are often done during the testing phase of the audit as a substantive test in support of account balances.

3. Analytical procedures are also required during the completion phase of the audit

THE FIVE TYPES OF ANALYTICAL PROCEDURES

- The usefulness of analytical procedures as audit evidence depends significantly on the auditor developing an *expectation* of what a recorded account balance or ratio *should be*, regardless of the type of analytical procedures used.
- Auditors develop an expectation of an account balance or ratio by considering information from prior periods, industry trends, client-prepared budgeted expectations, and nonfinancial information.

- The auditor typically compares the client's balances and ratios with expected balances and ratios using one or more of the following types of analytical procedures. In each case, auditors compare client data with:
 1. Industry data
 2. Similar prior-period data
 3. Client-determined expected results
 4. Auditor-determined expected results
 5. Expected results using nonfinancial data.

COMMON FINANCIAL RATIOS

- Auditors' analytical procedures often include the use of general **financial ratios** during planning and final review of the audited financial statements.
- These are useful for understanding recent events and the financial status of the business and for viewing the statements from the perspective of a user.
- The general financial analysis may be effective for identifying possible problem areas, where the auditor may **do additional analysis and audit testing**, as well as business problem areas in which the auditor can provide other assistance.

END OF CHAPTER THREE
THANK YOU